

Comparability Concept

The Comparability concept assumes that people who are reading the financial statements are likely to want to compare financial statements between accounting periods and, possibly, with other companies. It is important the accounting standards and policies between periods are consistent and, if any major policy or standard change occurs, they must be noted.

If an investor wanted to compare financial statements between two similar companies (and if both companies prepare their statements according to GAAP standards), the investor can make a reasonable comparison. However, if the investor is comparing financial statements between American firms that are using GAAP and European firms that are using International Accounting Standards (IAS), there could be some reporting differences that would hinder the comparison. This is why financial reports indicate the standard under which they were prepared.

Consistency Concept

The Consistency concept ensures that, once a particular accounting technique is adopted, it is used consistently for all future reporting. In addition, similar situations are expected to be handled the same way. If a company reports inventory by using first-in, first-out (FIFO) and takes depreciation by using the straight-line method, a person reading the report can reasonably expect that these methods will be used in the future and for all inventory and assets.

For example, assuming a company used straight-line depreciation on assets one year and switched to an accelerated method the following year, a person cannot compare the asset values and expenses between the two periods; such a change should be noted in a footnote.

Matching Principle

The Matching principle attempts to match revenues with the expenses that occurred to create the revenue. According to this principle, expenses are recorded in the books within the same period the revenue occurred. It is one of the main benefits offered by the accrual accounting method and it is a part of GAAP for most businesses.

Summary

In general, an accounting system should attempt to disclose all of the important information in a consistent fashion, which allows users of the data to make reliable decisions based on the data they find in the accounting statements. In the next chapter, we will look at some of the standard accounting reports that systems need to produce.